

CASE STUDY 11

CORPORATE REVIEW POLICY - BANKING CUSTOMER PROTECTION POLICY

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TABLE OF CONTENT

1)	INTRODUCTION
2)	POLICY OVERVIEW
3)	KEY PROVISIONS
4)	COMPLIANCE & GOVERNANCE ANALYSIS
5)	POLICY EVALUATION
6)	BUSINESS RELEVANCE
7)	RECOMMENDATION
8)	CONCLUSION
9)	REFERENCE

1. Introduction;

About IOB;

Indian Overseas Bank (IOB) is a public sector bank in India, headquartered at Anna Salai, Chennai, Tamil Nadu. It was established on 10 February 1937 by M. Ct. M. Chidambaram Chettyar. The bank was originally established with a major focus on foreign-exchange business and international banking.

About Policy;

Guidelines designed to protect banking customer & establish standards for fair treatment, disclosures, complaints & transaction-related issues. Supports customers rights, responsible banking practices, grievance redressal & regulatory compliance.

2. Policy Overview;

The policy aims to establish a secure, transparent and customer-friendly banking environment.

The policy focuses on:

- Protecting customers against unauthorised digital transactions.
- Defining the financial liability of customers and the bank.
- Providing compensation for eligible financial losses.
- Establishing an effective complaint-redressal mechanism.
- Promoting transparency and accountability in banking operations.
- Ensuring compliance with Reserve Bank of India (RBI) guidelines.

3. Key Provisions;

The key provisions of Indian Overseas Bank's Customer Protection Policy can be summarized as follows:

- **Major rules & guidelines:** Protection against unauthorised electronic transactions, customer liability limits, compensation for eligible losses, and compliance with RBI guidelines.
- **Rights of customers:** Customers have the right to secure banking services, timely complaint resolution, appropriate compensation for eligible losses, and protection against unauthorised transactions.
- **Responsibilities of customers:** Customers must protect their PIN, OTP, passwords and other confidential information, monitor transactions, and report unauthorised transactions to the bank immediately.
- **Bank's responsibilities:** IOB must provide transaction alerts, investigate reported unauthorised transactions, provide eligible compensation or reversal, and maintain an effective grievance-redressal system.
- **Important procedures:** Customers should report suspicious/unauthorised transactions promptly through the bank's designated channels.

4. Compliance & Governance Analysis;

IOB's Customer Protection Policy follows relevant RBI guidelines, the Banking Ombudsman framework and applicable banking regulations. The policy supports legal and regulatory compliance

by defining customer liability, fraud reporting, compensation, transaction alerts and grievance-redressal procedures. Governance is supported through Board oversight, internal controls, periodic policy review and the Internal Ombudsman, ensuring accountability and proper handling of customer complaints.

5. Policy Evaluation;

IOB's Customer Protection Policy has strengths such as customer protection against unauthorised transactions, compensation provisions and a grievance-redressal system. The policy is practically useful because it provides clear procedures for reporting fraud and resolving complaints. However, areas for improvement include faster complaint resolution, greater customer awareness, simpler reporting procedures and stronger digital fraud monitoring. Compared with good corporate practices, IOB could further strengthen real-time fraud detection, multilingual customer communication and regular customer-awareness programmes.

6. Business Relevance;

IOB's Customer Protection Policy is important in modern banking because it builds customer trust and supports secure digital banking. It protects customers and stakeholders, while guiding employees in handling fraud and complaints. The policy helps in reducing financial and operational risks, promotes ethical and responsible banking practices, ensures regulatory compliance, and strengthens organizational governance, accountability and reputation.

7. Recommendation;

IOB can improve the Customer Protection Policy by simplifying fraud-reporting procedures, strengthening real-time fraud detection and increasing customer awareness programmes. Better implementation can be achieved through regular employee training, periodic policy reviews and continuous monitoring of complaints and fraud cases. Compliance and governance can be strengthened through stronger internal controls, regular audits, Board-level monitoring and effective Internal Ombudsman review.

8. Conclusion;

IOB's Customer Protection Policy provides a framework for protecting customers, reducing banking risks and ensuring regulatory compliance. It supports secure and ethical banking through fraud protection, compensation and grievance redressal. Continuous monitoring, customer awareness and stronger digital security can further improve its effectiveness.

9. Reference;

IOB- Customer Protection Policy;

<https://www.iob.bank.in/documents/20117/74499/iobPOLICYCustomerProtectionLimitedLiabilityUnauthorizedElectronicBankingTransactions.pdf>

RBI-Customer Protection Guidelines;

<https://www.rbi.org.in/commonman/English/scripts/Notification.aspx?Id=2623>

IOB-Customer Rights Policy, 2026;

[customer-rights-policy-renewal-2026](#)